from 612 in July 2021 to 118 in the same month this year. Meanwhile, the Centre for Monitoring Indian Economy (CMIE) data show that investment in terms of new projects has been laggardly—dropping to Rs 4.3 lakh crore in the first quarter of this financial year from Rs 8.2 lakh crore in the last quarter of the previous financial year. Manufacturing, particularly, has seen a drag in terms of new projects, with only 1,935 new projects announced in Q1FY23, compared to 4,137 announced in Q4FY22. Bank loans to industry as a percentage of the GDP have also been falling in the past decade, from over 22 per cent in 2011-12 to 13.3 per cent in 2021-22.

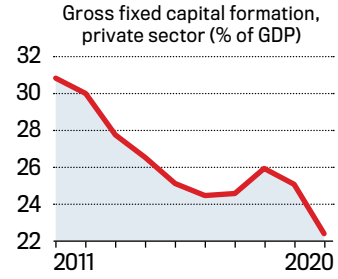
Even more worrying is that corporates are shying away from investments despite being flush with cash. A CMIE study shows that in 2020-21, which was a pandemic year, 24,347 companies posted a total net profit of Rs 5.6 lakh crore, a record, much higher than the previous peak of Rs 4 lakh crore in 2017-18. For 2021-22, a study of 3,299 companies showed that they made an even bigger Rs 6.7 lakh crore in net profit. These are big companies since they constitute 60 per cent of the total sales of all the companies put together. If all the companies are taken into account, the profits may go up to Rs 8 lakh crore. Despite this, the growth in net fixed assets of these firms was just 2 per cent in nominal terms, while their investment in plant and machinery was just one per cent. "So, these companies are getting a free ride. Higher prices and inflation are helping them. They got a tax boost earlier," Mahesh Vyas, MD & CEO of CMIE, told INDIA TODAY. "Corporates are saying this is a great time to make money and there is no need to invest. They can borrow whatever they want, but they don't find it attractive to invest as yet." With no logical reason to invest, they are seeking to shift the money elsewhere. "Their investments in the equity markets have gone up by 17 per cent. But they find no need to invest in fixed capital," Vyas adds. Corporates have also been substituting the MSMEs. The GST (implemented in 2017) and Covid lockdowns threw many MSMEs out of business. The organised

NO APPETITE TO INVEST

The investment drought has been persisting for several years as capacity utilisation remained low on sluggish demand

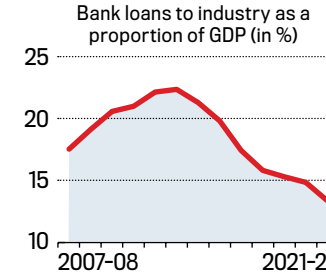
SAGGING INTEREST

Investment has been dipping for over a decade



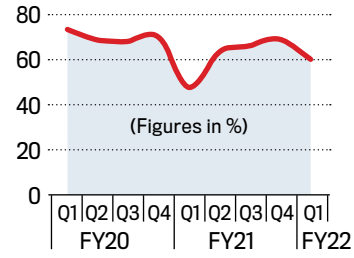
BANK LOAN BLUES

Credit offtake from banks has been on a downslide



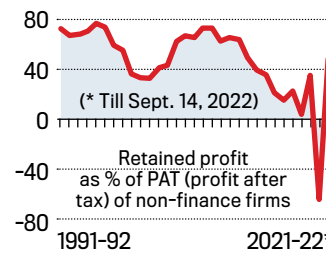
LOW CAPACITY UTILISATION

Less demand leads to firms operating at lower capacities



SITTING ON CASH

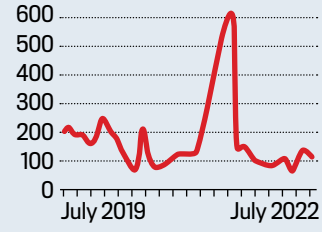
Companies' profits have risen, but they aren't investing



ON A SLIPPERY TRAIL

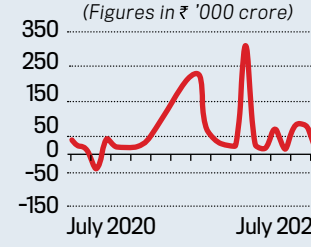
Industrial investments remain tepid both in terms of value as well as the number of projects

NO. OF PROPOSALS



PROPOSED AMOUNT

(Figures in ₹ '000 crore)



Sources: World Bank, CMIE, MOSPI, RBI, CIEC & Bank of Baroda research

Graphics by TANMOY CHAKRABORTY



"MARKET VOLUMES ON A NEGATIVE BASIS... DEFINITELY (POINT TO) STRESS ON DEMAND. HIGH COMMODITY INFLATION IS THE PRIMARY REASON"

SANJIV MEHTA, *CEO & MD, HUL*